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**FOR
AGENDA**

EBS/07/124

November 5, 2007

To: Members of the Executive Board

From: The Secretary

Subject: **Kenya—Third Review Under the Three-Year Arrangement Under the Poverty Reduction and Growth Facility and Request for Waivers of Nonobservance of Performance Criteria and Prior Action Resulting in Noncomplying Disbursement**

Attached for consideration by the Executive Directors is a paper on the third review under the three-year arrangement under the Poverty Reduction and Growth Facility for Kenya, and Kenya's request for waivers of nonobservance of performance criteria and a prior action resulting in a noncomplying disbursement, which is tentatively scheduled for discussion on **Friday, November 16, 2007**. Draft decisions appear on pages 13 and 14. At the time of circulation of this paper to the Board, the Secretary's Department has not received a communication from the authorities of Kenya indicating whether or not they consent to the Fund's publication of this paper; such communication may be received after the authorities have had an opportunity to read the paper.

Questions may be referred to Mr. Andrews (ext. 38318), Mr. Yang (ext. 34339), and Ms. Masha (ext. 35939) in AFR.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Tuesday, November 13, 2007; and to the African Development Bank, the Common Market for Eastern and Southern Africa, and the European Commission, following its consideration by the Executive Board.

This document, together with a supplement providing an informational annex, will shortly be posted on the extranet, a secure website for Executive Directors and member country authorities. The supplement, which is not being distributed in hard copy, will also be available in the Institutional Repository; a link can be found in the daily list (<http://www-int.imf.org/depts/sec/services/eb/dailydocumentsfull.htm>) for the issuance date shown above.

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INTERNATIONAL MONETARY FUND

KENYA

**Third Review Under the Three-Year Arrangement Under the
Poverty Reduction and Growth Facility and Request for Waivers
of Nonobservance of Performance Criteria and Prior Action
Resulting in Noncomplying Disbursement**

Prepared by the African Department
(In consultation with other departments)

Approved by Thomas Krueger and Anthony R. Boote

November 5, 2007

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EXECUTIVE SUMMARY

Strong economic growth continued in 2006/07, supported by prudent macroeconomic management and structural reforms. Further structural reforms and improvements in infrastructure in a stable macroeconomic environment would be essential to achieve sustained high growth, as called for by the government's Vision 2030 strategy.

The sharp spending increase budgeted for 2007/08 could exert pressures on domestic prices and compromise project quality, but the authorities are taking steps to mitigate these risks. Expenditures, which are heavily backloaded, would be curtailed if privatization receipts fall short so that domestic financing would stay within the annual ceiling. The authorities are also committed to fully implementing the budget only if nonfood inflation remains low and project quality is maintained. A sovereign bond is to be issued to retire more costly external debt as well as to serve as an international benchmark and fund infrastructure projects.

Monetary policy has been looser than targeted. After persistently missing reserve money targets, the authorities have taken action, with significant increases in interest rates since August. Sustained efforts are required, including continued interest rate flexibility.

Some aspects of governance have improved, but challenges remain. Progress is evident in business license reforms, improvements in Doing Business Indicators, and the Kenya Revenue Authority's improved governance. The recent enactment of the Miscellaneous Amendments Bill was another major step forward in implementing the *Governance Action Plan for Building a Prosperous Kenya*. However, more progress is needed in investigating and prosecuting high-profile corruption cases.

Structural reforms in public financial management need to be broadened and financial sector reforms accelerated. Considerable progress has been made in implementing the Integrated Financial Management Information System, and the authorities are now working on an organic budget law that would strengthen the legal framework for public financial management and improve accountability and transparency of the budget process. However, there have been delays in completing the review of the Banking Act and in developing a financial sector reform strategy. Priority is now being given to these issues.

In view of the authorities' achievements in macroeconomic management and structural reforms and the steps they have taken to address program slippages, staff recommends that waivers be granted for the four missed performance criteria for the third review. Staff also recommends that a case of misreporting be addressed under the *de minimis* procedures.

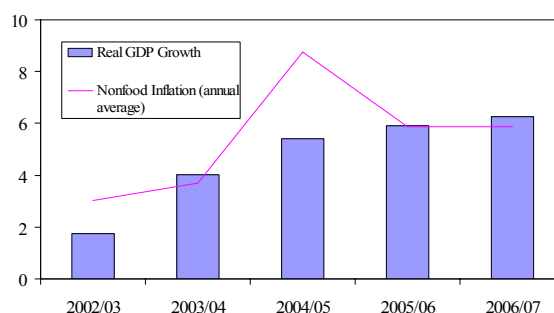
I. INTRODUCTION

1. **This review focuses on performance under the program supported by the Poverty Reduction and Growth Facility (PRGF), fiscal and monetary policies for fiscal year 2007/08 (July-June), and key governance and structural reforms.**¹ Addressing risks from the expansionary 2007/08 budget and reducing monetary expansion to contain inflation are key to safeguarding macroeconomic stability in this election year (general elections are scheduled for December 27). Sustaining growth will require continued progress on key governance and structural reforms.

II. SOLID MACROECONOMIC ACHIEVEMENTS

2. **Macroeconomic developments in 2006/07 were generally positive.** Real GDP growth reached 6.3 percent, a fourth consecutive year of growth above 4 percent. While overall inflation continued to be well above the official target of 5 percent, nonfood inflation remained stable and below 6 percent. A recent household survey showed that nation-wide poverty declined from 52 percent in 1997 to 46 percent in 2006.

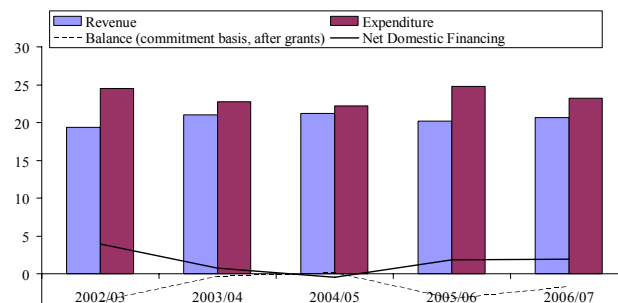
Figure 1. Real Sector Developments, 2002/03-2006/07
(Annual percentage change)



Sources: Kenyan authorities; and IMF staff estimates.

3. **Cautious budget execution led to a tighter fiscal stance than in 2005/06 and kept net domestic financing within the program target (a performance criterion—PC).** Revenue collection in value terms was on track, but fell short of program projections as a percent of GDP. Delays in procurement caused significant under-execution of foreign-financed development spending. Privatization receipts were well below program projections, but nonpriority spending cuts reduced domestic financing requirements and kept domestic debt at 18.5 percent of GDP. Some

Figure 2. Fiscal Developments, 2002/03-2006/07
(percent of GDP)

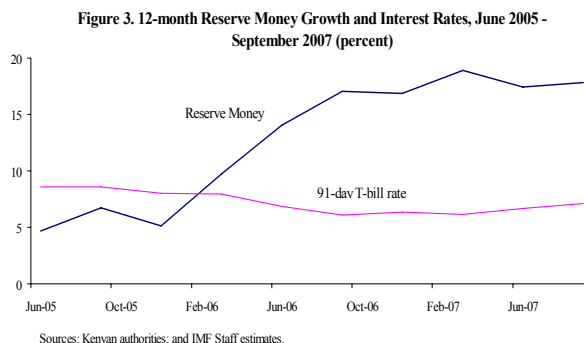


Sources: Kenyan authorities; and IMF staff estimates.

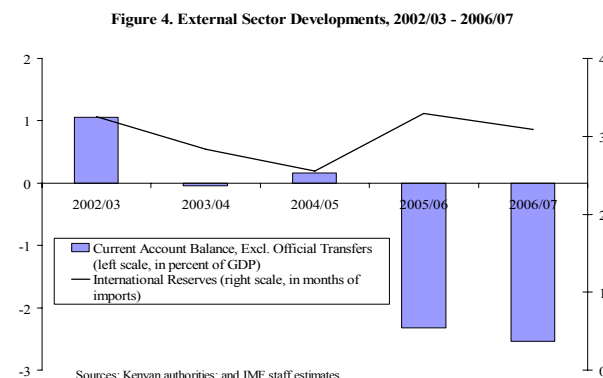
¹ The mission took place during September 10-21, 2007 and comprised Mr. Andrews (head), Mr. Yang, Ms. Masha (all AFR), Mr. John (PDR), and Ms. Everaert (FAD). Mr. Rogers, Senior Resident Representative, assisted the mission. Staff met the Minister for Finance, Mr. Kimunya, Governor of the Central Bank of Kenya, Mr. Ndung'u, other senior officials, and representatives of donors, civil society, and the business community.

external arrears to official creditors were incurred, in breach of a continuous PC, but were subsequently cleared.

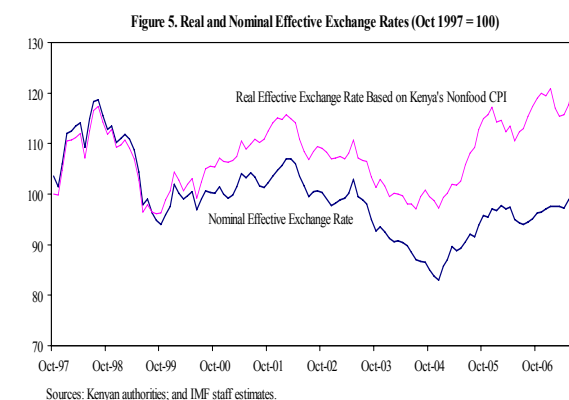
4. **Reserve money growth persistently exceeded program targets and the end-June PC was not observed.** Despite continued low nonfood inflation, the rapid reserve money growth in the second half of the fiscal year, driven in large part by the accumulation of CBK net foreign assets, may have created a monetary overhang that will need to be addressed if inflation is to be contained. In response, the CBK raised the Central Bank Rate by 25 basis points to 8.75 percent in August to signal a tighter monetary stance and took measures to enhance its open market operations (see ¶17).



5. **The external current account deficit widened slightly as a result of strong domestic investment, but the overall balance of payments remained in surplus thanks to large foreign exchange inflows.** Import coverage of international reserves fell somewhat, but remained fairly strong at 3.1 months. The recent global financial turmoil has so far had no discernable impact on the domestic financial market.



6. **Both the nominal and real effective exchange rates have appreciated over the past three years.** The former has appreciated by 18 percent since a trough at end-2004, and the latter, based on Kenya's nonfood CPI, by 24 percent. Despite an appreciating shilling, Kenya's export growth remains strong. Higher capacity utilization that has accompanied economic recovery and reduced costs of doing business have helped raise productivity and maintain competitiveness (¶10). Staff shared the authorities' view that competitiveness remains broadly adequate, and, looking forward, removing infrastructure bottlenecks would be critical.



III. UNEVEN PROGRESS IN GOVERNANCE AND STRUCTURAL REFORMS

7. **Parliament recently approved the Miscellaneous Amendments Bill, which was submitted in May in line with a structural PC.** The bill contained important measures to implement the *Governance Action Plan for Building a Prosperous Kenya (GAP)*. Parliament initially rejected most of these measures but assented after the President returned the bill in late September. While not all reform measures were adopted—most notably, the public will have only restricted access to wealth declarations of public officials—the final law includes important steps to strengthen the legal platform to fight corruption and enhance prosecutorial capacity, including by increasing the number of judges (LOI, ¶18). External audit reports on security-related (Anglo-Leasing) contracts were completed in August and have since been passed to the Kenya Anti-Corruption Commission (KACC) to facilitate investigation and potential prosecution of corruption cases. While KACC’s investigations of the international aspects of these cases are continuing, no new cases have been brought for prosecution over the past year.
8. **Considerable progress has been made in implementing other aspects of the GAP.** The government resubmitted the Proceeds of Crime and Anti-Money Laundering (AML) Bill to parliament in May (PC). The Media Bill 2007 recently became law, the Political Parties Bill 2007 was approved by parliament and assented to by the President in October, and the Witness Protection Act 2006 is now being implemented. A Public Complaints Standing Committee was established in June, and a public information network in districts and constituencies is being developed. Surveys have shown that as a result of governance improvements, the Kenya Revenue Authority (KRA) has dropped off Transparency International’s bribery index.
9. **Reforms in public financial management (PFM) and the financial sector continued to advance, but there have been delays, especially in the latter.** While the Integrated Financial Management Information System (IFMIS) is now operational in four ministries in line with a structural PC and is being phased-in in another 20 ministries, the Public Procurement Oversight Authority (PPOA) was not fully operational by end-April (structural PC), and submission to cabinet of a strategy to initiate the sale of government and National Social Security Fund (NSSF) shares in the National Bank of Kenya (NBK) (structural PC) was delayed. However, corrective actions have been taken in both cases: the authorities have appointed an interim Director General and Advisory Board, making the PPOA fully operational, and a memorandum was submitted to cabinet in early November to initiate the process of NBK privatization. Actions have also been taken to address five missed structural benchmarks (see Box 1).
10. **Significant progress has been made in improving the business environment and public service efficiency.** In the context of the 2007/08 budget, 205 business licenses (out of a total of 1,325) deemed to serve no useful purpose will be eliminated while another 371 will be simplified. In the World Bank’s Doing Business Report 2008, Kenya was ranked as one of the top 10 reformers. Earlier in June, Kenya won the United Nations’ Public Service Award for introducing performance contracts throughout the public service.

Box 1. Missed Policy Targets and Corrective Actions	
Missed Targets	Corrective Actions (LOI reference)
Quantitative PCs	
End-June reserve money ceiling	Greater interest rate flexibility and improved open market operations (¶6 & 36)
Non-accumulation of external payment arrears	Arrears cleared (¶2)
Structural PCs	
Make PPOA fully operational	PPOA operational with an interim Advisory Board and Director General (¶10)
Submit to cabinet a strategy to privatize NBK	Submitted in early November (¶11)
Quantitative benchmarks	
End-September reserve money ceiling	Greater interest rate flexibility and improved open market operations (¶6 & 36)
End-September net foreign assets floor	Priority given to meeting reserve money target (¶36)
Structural benchmarks	
Complete the study of contingent liabilities of 24 parastatals' accounts	Inception report completed in September (¶14)
Present to parliament the Controller and Auditor General's 2005/06 report	Presented in September (¶13)
Submit to parliament an amendment to the Banking Act	Comprehensive revision of the Act is at an advanced stage (¶16)
Complete a diagnostic audit of the NSSF	Inception report completed in September (¶14)
Establish the Privatization Commission	Expected by December (¶12)
Sources: Kenyan authorities; and IMF staff compilation.	

IV. SAFEGUARDING MACROECONOMIC STABILITY FOR 2007/08

11. **The authorities' 2007/08 economic program is geared toward their Vision 2030 objectives.** The vision aims to achieve annual GDP growth of 10 percent on a sustained basis by 2012. However, guided by the principle of prudence, the authorities' medium-term macroeconomic framework assumes annual GDP growth of 6-7 percent, although they see clear upside potential to the growth projections and intend to adjust the framework if higher growth materializes.

A. Fiscal Policy and PFM

12. **The sharp increase in expenditure (by 4.8 percent of GDP) and a widening fiscal deficit (to 5.4 percent of GDP, commitment basis, including grants) in the 2007/08 budget pose risks.** The increased spending, most of which is devoted to infrastructure (notably roads and energy) where bottlenecks are constraining growth, would be financed by official external resources, domestic borrowing, privatization receipts, and proceeds from a sovereign bond issue planned for early 2008. While public debt ratios are projected to decline in line with the government's medium-term strategy, such a large increase in spending could exert pressures on domestic prices, even with considerable import content for development projects and a possible increase in private savings as the public participates in privatization opportunities. A shortfall in privatization receipts could lead to increased domestic borrowing and capacity constraints could jeopardize project quality.

Text Table 1. Key Fiscal Indicators (percent of GDP)

	2006/07 Est.	2007/08	
		Budget	Proj.
Total revenue	20.6	20.7	20.6
Total expenditure	23.2	28.0	26.8
<i>of which:</i>			
Recurrent expenditure	18.5	19.6	19.4
Development and net lending	4.4	8.2	7.1
<i>of which:</i>			
Domestically financed	3.0	3.9	3.9
Foreign financed	1.4	3.9	2.9
Grants	0.9	1.9	1.5
<i>of which:</i>			
Project grants	0.9	1.7	1.3
Program grants	0.0	0.2	0.2
Overall balance, incl. grants and adjustment to cash	-1.6	-5.3	-4.8
Financing	2.0	5.3	4.8
<i>of which:</i>			
Project loans	0.6	2.2	1.6
Program loans	0.0	0.0	0.1
Commercial foreign financing	0.0	1.0	1.0
Arrears clearance	0.0	-0.4	-0.4
Privatization proceeds	0.2	2.2	2.2
Telkom restructuring cash costs	...	-0.4	-0.4
Net domestic borrowing	1.9	1.6	1.6

Sources: Kenyan authorities; and IMF staff estimates and projections.

13. **The authorities recognize that execution of foreign-financed projects is likely to fall short of the tripling of last year's outturn assumed in the budget.**

They agree with staff that even with major efforts that have been made to strengthen implementation capacity, the outturn of foreign-financed development spending is more likely to be a doubling of last year's level, reflecting remaining constraints (LOI, ¶32). Overall, the budget deficit agreed with staff is now projected to be 4.8 percent of GDP with net domestic financing remaining at 1.6 percent of GDP. A sovereign bond of 1.0 percent of GDP is to be issued, with half of the proceeds to finance spending and the remainder used to clear external arrears on security-related and other contracts. The sovereign bond would only modestly increase the net present value (NPV) of debt.²

14. **The authorities realize the challenges and risks in implementing the projected development spending, and are taking steps to address them.** They are improving the procurement process and monitoring infrastructure spending to ensure that expenditure quality does not deteriorate. The authorities will consider implementing the budget in full only if expenditure quality is maintained, and inflation and interest rates remain stable.

² Debt sustainability analysis suggests that Kenya's risk of debt stress is low (EBS/07/30, Appendix I).

15. **The authorities also plan to mitigate risks from potential delays in privatization.** Expecting that the bulk of privatization receipts are to arrive after 2007, they will backload expenditures. In the event of a receipts shortfall, they stand ready to restrain spending, so that net domestic financing stays within its target throughout the year.

Text Table 2. Privatization Receipts in 2007/08 (percent of GDP)

Privatization Receipts in 2007/08 budget	2.2
Safaricom	1.6
KenGen	0.3
Telkom Kenya	0.3

Sources: Kenyan authorities; and IMF staff projections.

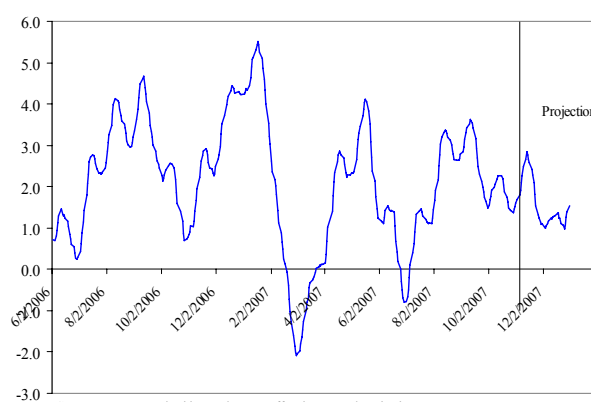
16. **The authorities are committed to following their Strategy to Revitalize Public Finance Management.** A draft organic budget law to be submitted to cabinet for approval will address weaknesses in the legal framework for PFM identified in the recent draft fiscal Report on the Observance of Standards and Codes and help increase accountability and transparency of the budget process. The authorities are also working on a legal and institutional framework for public-private partnerships to reduce fiscal risks.

B. Monetary, Exchange Rate, and Financial Sector Policies

17. **The CBK aims to maintain nonfood inflation below 6 percent through June 2008.** To achieve this goal and ensure a smooth transition from the high monetary expansion through September, the CBK aims to limit annual reserve money growth to 14 percent and broad money to 15 percent by end-December 2007 and end-June 2008. The easing of the end-December target (from 12 percent in the program) also reflects the consideration that nonfood inflation, which remains low, should be given greater weight in setting the targets in light of volatile overall inflation.

18. **The CBK is on track to achieve these targets.** It has absorbed technical assistance well and taken steps to achieve these targets: the minimum bid threshold for central bank repos was reduced from Ksh 50 million to Ksh 20 million; repos now count toward bank liquidity requirements; a late-day repo window was opened; and interest rates on repos have become more flexible. However, reserve money growth has been volatile. After declining through most of October, the growth rate of reserve money unexpectedly rose to 18.3 percent at the end of the month before falling to 16.7 percent on November 1. Based on the 30-day moving average trend, reserve money is expected to meet the end-December target. The authorities remain fully committed to meeting this target, and are fine tuning their open market operations to this end. Moving forward, the CBK will:

Figure 6. Reserve Money Growth, June 2006-December 2007
(Percentage change in 30-day moving average)



Sources: Kenyan authorities; and IMF staff estimates and projections.

- improve coordination with the Treasury to reduce the liquidity impact of government use of its CBK overdraft facility;
- aim to clear daily auctions by accepting all reasonable bids unless the offer is oversubscribed; and
- give priority to reserve money targets over the NFA targets.

19. **The authorities intend to accelerate development of the much-delayed financial sector reform strategy.** In addition to promoting stability and development of the financial system, this long-term strategy will also aim to develop financial services into one of the six economic pillars under Vision 2030.

C. Governance and Structural Reforms

20. **For the remainder of 2007/08, the authorities plan to give priority to governance actions that do not require legislation.** These include measures to:

- expand court facilities, hire additional prosecutors, and accelerate training of judges and automation of recording of court proceedings;
- make current the web-posting of all procurement contracts above Ksh 5 million; and
- audit the Constituency Development Fund, Local Authority Transfer Funds, and other devolved funds.

21. **The authorities intend to continue with their structural reform agenda.** Building on recent advances, an ambitious privatization program will include the restructuring and preparation for privatization of Telkom and NBK and the sale of a 41.7 percent government stake in Safaricom and a further stake in KenGen after the initial public offering of 30 percent in 2006. A consolidated electronic business registry is being established.

D. External Financing

22. **External financing requirements are projected to rise in 2007/08.** This mainly results from higher infrastructure spending and a larger current account deficit, as well as from higher debt service following the end of the consolidation period under the Paris Club rescheduling agreement and the clearance of arrears on security-related and other contracts. It is expected that donor support, particularly for projects, a sovereign bond, and private inflows will fully meet the increased financing requirements.

V. *DE MINIMIS* MISREPORTING

23. **A case of misreporting took place in the context of the second review under the PRGF arrangement, which staff recommends be addressed under the *de minimis* misreporting procedures.** This case of misreporting stems from the provision of inaccurate information on the observance of a prior action calling for the web-posting of information on all procurement contracts above Ksh 0.5 million (about US\$7,000) that were awarded in the

second and third quarters of 2005/2006. Although the authorities reported that the prior action had been observed, it is now evident that only contracts above Ksh 5 million awarded during the second and third quarters of 2005/2006 had been web-posted before the April 11, 2007 Board discussion of the second review under the PRGF arrangement. It was at the authorities' suggestion that the threshold of Ksh 0.5 million was established, which is well below the thresholds used in many other countries. However, this threshold is inconsistent with Kenyan regulations, under which only information on contracts above Ksh 5 million is collected. Thus, the use of a higher threshold for actual web-posting under the prior action would not have affected the information on procurement contracts that could be posted on the web, since it is dictated by data availability under the relevant regulations. Moreover, staff now considers the threshold of Ksh 5 million appropriate (¶19). Accordingly, staff considers that the deviation from the prior action is trivial and has had no impact on the assessment of Kenya's performance under the PRGF-supported program and recommends that a waiver for the nonobservance of the relevant prior action be granted.

VI. STAFF APPRAISAL

24. **Kenya's robust economic growth has been underpinned by prudent macroeconomic management and structural reforms.** Together with improved infrastructure, further structural reforms in the context of macroeconomic stability will help maintain Kenya's external competitiveness and lay the foundation for moving toward the ambitious growth objectives of Vision 2030.

25. **The authorities have designed an implementation strategy to mitigate the risks posed by the 2007/08 budget.** A more realistic budget, reflecting implementation capacity, would have been preferable. However, the authorities' commitment to phase the expected level of development spending in line with available financing and to fully implement the budget only if inflation remains low and expenditure quality is maintained will be important in safeguarding macroeconomic stability and project quality. Although the planned sovereign bond would have limited effect on the NPV of Kenya's debt, going forward, staff encourages the authorities to seek more concessional financing as a first best approach to safeguarding debt sustainability and meeting infrastructure needs. It is regrettable that further external payment arrears were incurred.

26. **A continued tightening of monetary policy will help secure low inflation.** The actions taken by the authorities to make open market operations more effective have begun to bear fruit. Sustained commitment, including to interest rate flexibility, will be needed to achieve the CBK's reserve money targets.

27. **Important strides have been made in improving some aspects of governance, but challenges remain.** Staff welcomes the significant progress made in strengthening legislation, enhancing transparency, and improving governance in the KRA, but encourages the authorities to continue with their efforts to implement the Governance Action Plan in full and move forward with investigating and prosecuting high-profile corruption cases.

28. **The authorities should build upon their advances in strengthening business regulation and public financial management and accelerate financial sector reform.**

Following the progress in reforming business licenses and public enterprises and in implementing the IFMIS, greater efforts are needed to improve the legal framework for PFM, and to expedite the review of the Banking Act and develop a financial sector reform strategy.

29. **In view of the authorities' achievements in macroeconomic management and structural reforms and the corrective actions they have taken to address program slippages, staff recommends that waivers be granted for the four missed PCs for the third review.** Staff also recommends that a case of misreporting be addressed under the *de minimis* procedures.

PROPOSED DECISION I: WAIVER FOR NON-COMPLYING DISBURSEMENT

1. The Fund notes the findings and recommendations of the Managing Director set forth in EBS/07/124 (11/5/07) on the non-complying disbursement made to Kenya on April 26, 2007 following the completion of the second review under the Poverty Reduction and Growth Facility for Kenya (EBS/07/30, 3/27/07), and in particular the recommendation to waive the non-observance of the prior action that information on all procurement contracts above Ksh 0.5 million that were awarded in the second and third quarters of 2005/06 be web-posted, on the grounds that this non-observance was the result of a *de minimis* deviation.
2. Accordingly, the Fund decides to waive Kenya's non-observance of the prior action that gave rise to the non-complying disbursement that information on all procurement contracts above Ksh 0.5 million that were awarded in the second and third quarters of 2005/06 be web-posted, on the condition that the information provided by Kenya as the basis for this decision is accurate.

PROPOSED DECISION II: THIRD REVIEW UNDER THE PRGF ARRANGEMENT

1. Kenya has consulted with the Fund in accordance with paragraph 6 of the three-year arrangement for Kenya under the Poverty Reduction and Growth Facility (PRGF) (EBS/03/151, Cor. 2, November 21, 2003) in order to review program implementation.
2. The letter dated November 2, 2007 from the Minister for Finance of Kenya (the “November 2007 Letter”) shall be attached to the three-year PRGF Arrangement for Kenya, and the letter dated September 22, 2003, as amended, from the Minister for Finance of Kenya, together with its attachments, shall be read as supplemented and modified by the November 2007 Letter.
3. The Fund decides that the third review contemplated in paragraph 4(I)(d) of the three-year PRGF arrangement for Kenya is completed and Kenya may request the disbursement of the fourth loan referred to in paragraph 2(a)(ii) of the arrangement, notwithstanding the non-observance of: (i) the end-June quantitative performance criterion on the reserve money of the Central Bank of Kenya as specified in paragraph 4(I)(aa)(ii) of the arrangement; (ii) the continuous quantitative performance criterion on the government of Kenya accumulating any new external payment arrears as specified in paragraph 5(a) of the arrangement; (iii) the end-April 2007 structural performance criterion on making the Public Procurement Oversight Authority fully operational under the Public Procurement and Disposal Act as specified in paragraph 4(I)(c)(i) of the arrangement; and (iv) the end-June 2007 structural performance criterion on submitting to Cabinet for approval a strategy to initiate the sale of GoK’s and NSSF’s share in the National Bank of Kenya as specified in paragraph 4(I)(c)(v) of the arrangement, on the condition that the information provided by Kenya on performance under these criteria is accurate.

Table 1. Kenya: Selected Economic Indicators, 2005/06-2009/10

	2005/06	2006/07		2007/08		2008/09	2009/10
	Actual	EBS/07/30	Est.	EBS/07/30	Proj.	Staff Projections	
(Annual percentage change, unless otherwise indicated)							
National accounts and prices							
Real GDP	5.9	6.1	6.3	6.0	6.4	6.4	6.4
Consumer price index, overall (annual average)	11.1	7.6	10.2	5.2	7.6	5.0	5.0
Consumer price index, overall (end of period)	10.9	6.8	11.1	5.0	5.8	5.0	5.0
Consumer price index, nonfood (annual average)	5.8		5.9	3.5	4.8	5.0	5.0
Consumer price index, nonfood (end of period)	5.3		5.2	3.5	5.7	5.0	5.0
Terms of trade, goods							
(- deterioration; based on c.i.f. imports)	-5.9	-3.5	-5.5	-1.7	-4.0	-0.3	0.9
Ksh per US \$ exchange rate (end of period)	73.6	...	69.6	...	...	...	...
Nominal effective exchange rate (- depreciation; end of period)	4.0	...	6.0	...	...	...	...
Real effective exchange rate (- depreciation; end of period)	6.1	...	8.0	...	...	...	...
Money and credit							
Net domestic assets (end of period)	9.4	13.7	16.0	...	...	...	...
Net credit to the government (end of period)	5.0	20.9	33.3	...	...	...	...
M3 (end of period)	14.9	13.1	18.9	...	...	...	...
Reserve money (end of period)	14.0	14.3	17.5	...	...	...	...
Velocity (GDP/M3X)	2.5	2.6	2.6	...	...	...	...
(In percent of GDP, unless otherwise indicated)							
Investment and saving							
Investment	18.2	20.2	18.9	20.7	21.4	21.0	21.6
Central government	4.4	5.7	4.4	6.2	6.8	6.3	6.8
Other	13.8	14.5	14.5	14.5	14.6	14.7	14.8
Gross national saving	16.2	16.6	16.4	16.7	17.1	17.3	18.0
Central government	0.0	1.7	1.9	1.8	1.2	2.5	2.6
Other	16.1	15.0	14.5	14.9	15.9	14.9	15.4
Central government budget							
Total revenue	20.2	21.2	20.6	21.5	20.6	20.8	21.0
Total expenditure and net lending	24.8	25.6	23.2	26.1	26.8	25.0	25.4
Overall balance (commitment basis) excluding grants	-4.6	-4.4	-2.6	-4.6	-6.3	-4.1	-4.4
Overall balance (commitment basis) including grants	-3.3	-3.3	-1.7	-3.5	-4.8	-2.9	-2.6
Net domestic borrowing	1.8	1.7	1.9	1.6	1.6	1.6	1.5
Total donor support (grants & loans)	1.9	2.5	1.4	3.6	3.1	3.2	3.5
Balance of payments							
Exports value, goods and services	26.1	23.7	23.6	23.3	23.1	23.3	23.8
Imports value, goods and services	35.4	34.0	33.2	33.6	34.2	33.6	33.6
Current external balance, including official transfers	-2.0	-3.5	-2.5	-4.0	-4.3	-3.7	-3.6
Current external balance, excluding official transfers	-2.3	-3.5	-2.5	-4.0	-4.5	-3.8	-3.7
Gross international reserve coverage							
in months of next year imports (end of period)	3.3	3.3	3.1	3.4	3.2	3.2	3.3
Public Debt							
NPV of central government debt (end of period)	35.6	34.3	32.2	34.1	31.9	31.9	31.4
Domestic debt, net (end of period)	18.1	18.5	18.5	18.3	18.4	18.0	17.7
NPV of external debt (end of period)	17.5	15.7	13.7	15.9	13.5	13.8	13.7
Nominal central government debt (end of period)	42.2	40.0	37.3	40.1	37.0	37.0	36.7
Of which: external debt (end of period)	24.0	21.4	18.8	21.8	18.7	19.0	19.0

Sources: Kenyan authorities; and Fund staff estimates and projections.

Table 2a. Kenya: Central Government Financial Operations, 2005/06-2009/10 1/
(In billions of Kenyan Shillings)

	2005/06	2006/07	2007/08	2008/09	2009/10			
	Actual	EBS/07/30	Actual	EBS/07/30	Budget	Proj.	Staff Projections	
Revenue	311.3	377.4	373.0	425.9	428.9	427.2	483.6	543.8
Income tax	113.9	130.9	131.5	147.2	151.8	151.8	169.7	189.4
Import duty (net)	20.5	29.0	27.5	32.4	32.3	32.3	37.4	42.6
Excise duty	50.3	56.5	56.4	67.6	65.6	65.6	74.0	83.4
Value-added tax	76.3	95.4	96.3	106.1	111.8	112.2	127.2	143.4
Investment income	2.2	5.7	6.6	6.4	4.7	2.7	5.3	5.9
Other	25.2	27.9	28.4	30.6	30.6	30.6	35.1	39.8
Ministerial and Departmental Fees (AIA)	22.8	32.0	26.4	35.6	32.0	32.0	35.1	39.2
Expenditure and net lending	382.8	456.2	419.5	517.9	580.4	557.3	579.9	659.1
Recurrent expenditure	306.5	347.5	335.5	391.0	405.5	403.8	426.6	476.5
Interest payments	41.2	42.6	42.5	51.2	50.7	49.7	50.3	54.3
Domestic interest	31.4	37.3	36.9	42.5	44.0	44.0	44.7	47.7
Foreign interest due	9.8	5.3	5.7	8.8	6.8	5.7	5.6	6.6
Wages and benefits (civil service)	112.3	129.7	127.3	141.1	144.3	144.0	153.5	167.7
Civil service reform	1.3	0.9	1.4	0.5	0.5	0.5	0.5	0.5
Pensions, etc.	19.8	21.4	20.4	23.0	24.4	24.4	27.4	31.0
Other 2/	103.2	119.4	115.2	137.3	139.9	139.6	149.9	174.6
Defense and NSIS 3/	29.3	33.5	28.7	38.0	45.7	45.7	44.9	48.4
Pending bills	-0.5	0.0	-0.1	0.0	0.0	0.0	0.0	0.0
Development and net lending	67.7	103.7	80.3	124.8	169.2	147.8	148.5	177.7
Domestically financed	44.5	58.5	53.5	65.5	81.1	81.1	80.5	94.3
Foreign financed	23.1	42.4	26.1	58.3	81.7	60.3	65.9	81.4
Net lending	1.0	2.8	1.4	1.1	2.4	2.4	2.1	2.0
Pending bills	-1.0	0.0	-0.7	0.0	0.0	0.0	0.0	0.0
Drought Development Expenditure	0.0	0.0	0.0	0.0	4.0	4.0	0.0	0.0
Civil Contingency Fund	0.0	2.0	0.0	2.0	2.0	2.0	2.0	2.0
Drought/flood expenditures	8.6	3.0	3.7	0.0	3.7	3.7	2.9	2.9
Balance (commitment basis, excluding grants)	-71.6	-78.8	-46.5	-91.9	-151.6	-130.1	-96.3	-115.3
Grants	20.1	20.9	15.5	23.2	40.3	30.7	28.3	47.3
Food/debt relief grants 4/	0.0	0.0	0.0	0.0	0.4	0.4	0.4	0.4
Project grants	15.7	20.9	15.5	23.2	36.1	26.5	25.0	45.0
Program grants	4.4	0.0	0.0	0.0	3.8	3.7	2.9	1.9
Balance (commitment basis, including grants)	-51.5	-57.9	-31.0	-68.7	-111.3	-99.4	-68.0	-67.9
Adjustments to cash basis	14.2	1.5	1.6	0.0	1.5	0.4	0.0	0.0
Balance (cash basis, including grants)	-37.2	-56.4	-29.4	-68.7	-109.8	-99.0	-68.0	-67.9
Financing	35.0	56.4	35.5	68.7	109.8	99.0	68.0	67.9
Net foreign financing	-0.2	8.7	-3.1	33.0	39.8	29.0	30.5	28.1
Project loans	7.4	21.6	10.6	35.1	45.2	33.4	40.9	36.4
Program loans	1.6	1.4	0.0	13.6	0.0	1.3	5.0	7.1
Commercial (including security refinancing) 5/	0.0	0.0	0.0	30.5	20.4	20.2	0.0	0.0
Repayments due	-27.5	-16.5	-16.7	-21.1	-17.8	-17.1	-15.4	-15.4
Change in arrears	12.7	0.0	0.7	-25.0	-8.1	-8.8	0.0	0.0
Rescheduling	5.6	2.2	2.2	0.0	0.0	0.0	0.0	0.0
Privatization proceeds	7.0	18.2	4.0	3.8	44.9	44.9	...	...
Bank restructuring costs 6/	0.0	-20.0	-20.0	...	-1.1	-1.1	...	...
Expenditure arrears securitization costs	0.0	-0.5	0.0	...	-0.1	-0.1	...	...
Telkom restructuring costs (cash) 7/	...	...	...	...	-8.8	-8.8	...	...
Telkom restructuring costs (bond) 8/	...	...	...	...	-11.5	-11.5	...	...
Telkom restructuring costs (tax arrears) 9/	...	...	...	...	-15.0	-15.0	...	...
Bank restructuring financing 6/	...	20.0	20.0	...	1.1	1.1	...	...
Expenditure arrears securitization financing	...	0.5	0.0	...	0.0	0.0	...	...
Telkom restructuring financing 8/	...	...	...	...	11.5	11.5	...	...
Telkom restructuring financing (tax arrears) 9/	...	...	...	...	15.0	15.0	...	...
Net domestic financing	28.3	29.5	34.7	31.9	34.0	34.0	37.6	39.8
Financing gap (stat. discrepancy for outturns)	2.2	0.0	-6.2	0.0	0.0	0.0	0.0	0.0
Memorandum items:								
Nominal GDP	1,543.9	1,780.3	1,809.5	1,982.0	2,072.4	2,077.8	2,322.7	2,594.0
Primary budget balance	4.0	-13.8	13.2	-17.5	-59.0	-49.3	-17.7	-13.6
Stock of domestic debt, net (end of period)	280.1	330.1	334.7	362.0	381.3	381.3	418.8	458.6

Sources: Kenyan authorities; and Fund staff estimates and projections.

1/ Fiscal year ending June 30.

2/ Expenditures on Strategic Grain Reserve and Famine Relief (Ksh 2.65 billion in 2007/08) are excluded from other recurrent expenditures and included as drought/flood expenditures.

3/ Includes a one-time allocation for payment of security-related arrears of Ksh 2 billion in 2007/08.

4/ Includes debt relief from a debt swap deal with Italy.

5/ In 2007/08, this includes a US\$ 300 million sovereign bond, of which half is used to clear security related arrears.

6/ Consists of recapitalization of National Bank of Kenya and financing this through issuance of a special purpose bond.

7/ Consists of recapitalization of Kenya Telkom on account of its pension obligations and other restructuring operations, financed through cash injection.

8/ Consists of recapitalization of Kenya Telkom on account of its pension obligations and other restructuring operations, financed through issuance of a special purpose bond.

9/ Consists of clearance of tax arrears of Kenya Telkom to KRA and Ministry of Finance.

Table 2b. Kenya: Central Government Financial Operations, 2005/06-2009/10 1/
(In percent of GDP, unless otherwise indicated)

	2005/06	2006/07		2007/08			2008/09	2009/10
	Actual	EBS/07/30	Actual	EBS/07/30	Budget	Proj.	Staff Projections	
Revenue	20.2	21.2	20.6	21.5	20.7	20.6	20.8	21.0
Income tax	7.4	7.4	7.3	7.4	7.3	7.3	7.3	7.3
Import duty (net)	1.3	1.6	1.5	1.6	1.6	1.6	1.6	1.6
Excise duty	3.3	3.2	3.1	3.4	3.2	3.2	3.2	3.2
Value-added tax	4.9	5.4	5.3	5.4	5.4	5.4	5.5	5.5
Investment income	0.1	0.3	0.4	0.3	0.2	0.1	0.2	0.2
Other	1.6	1.6	1.6	1.5	1.5	1.5	1.5	1.5
Ministerial and Departmental Fees (AIA)	1.5	1.8	1.5	1.8	1.5	1.5	1.5	1.5
Expenditure and net lending	24.8	25.6	23.2	26.1	28.0	26.8	25.0	25.4
Recurrent expenditure	19.9	19.5	18.5	19.7	19.6	19.4	18.4	18.4
Interest payments	2.7	2.4	2.4	2.6	2.4	2.4	2.2	2.1
Domestic interest	2.0	2.1	2.0	2.1	2.1	2.1	1.9	1.8
Foreign interest due	0.6	0.3	0.3	0.4	0.3	0.3	0.2	0.3
Wages and benefits (civil service)	7.3	7.3	7.0	7.1	7.0	6.9	6.6	6.5
Civil service reform	0.1	0.1	0.1	0.0	0.0	0.0	0.0	0.0
Pensions, etc.	1.3	1.2	1.1	1.2	1.2	1.2	1.2	1.2
Other 2/	6.7	6.7	6.4	6.9	6.8	6.7	6.5	6.7
Defense and NSIS 3/	1.9	1.9	1.6	1.9	2.2	2.2	1.9	1.9
Pending bills	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Development and net lending	4.4	5.8	4.4	6.3	8.2	7.1	6.4	6.9
Domestically financed	2.9	3.3	3.0	3.3	3.9	3.9	3.5	3.6
Foreign financed	1.5	2.4	1.4	2.9	3.9	2.9	2.8	3.1
Net lending	0.1	0.2	0.1	0.1	0.1	0.1	0.1	0.1
Pending bills	-0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Drought Development Expenditure	0.0	0.0	0.0	0.0	0.2	0.2	0.0	0.0
Civil Contingency Fund	0.0	0.1	0.0	0.1	0.1	0.1	0.1	0.1
Drought/flood expenditures	0.6	0.2	0.2	0.0	0.2	0.2	0.1	0.1
Balance (commitment basis, excluding grants)	-4.6	-4.4	-2.6	-4.6	-7.3	-6.3	-4.1	-4.4
Grants	1.3	1.2	0.9	1.2	1.9	1.5	1.2	1.8
Food/debt relief grants 4/	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Project grants	1.0	1.2	0.9	1.2	1.7	1.3	1.1	1.7
Program grants	0.3	0.0	0.0	0.0	0.2	0.2	0.1	0.1
Balance (commitment basis, including grants)	-3.3	-3.3	-1.7	-3.5	-5.4	-4.8	-2.9	-2.6
Adjustments to cash basis	0.9	0.1	0.1	0.0	0.1	0.0	0.0	0.0
Balance (cash basis, including grants)	-2.4	-3.2	-1.6	-3.5	-5.3	-4.8	-2.9	-2.6
Financing	2.3	3.2	2.0	3.5	5.3	4.8	2.9	2.6
Net foreign financing	0.0	0.5	-0.2	1.7	1.9	1.4	1.3	1.1
Project loans	0.5	1.2	0.6	1.8	2.2	1.6	1.8	1.4
Program loans	0.1	0.1	0.0	0.7	0.0	0.1	0.2	0.3
Commercial (including security refinancing) 5/	0.0	0.0	0.0	1.5	1.0	1.0	0.0	0.0
Repayments due	-1.8	-0.9	-0.9	-1.1	-0.9	-0.8	-0.7	-0.6
Change in arrears	0.8	0.0	0.0	-1.3	-0.4	-0.4	0.0	0.0
Rescheduling	0.4	0.1	0.1	0.0	0.0	0.0	0.0	0.0
Privatization proceeds	0.5	1.0	0.2	0.2	2.2	2.2	...	...
Bank restructuring costs 6/	0.0	-1.1	-1.1	0.0	-0.1	-0.1	...	...
Expenditure arrears securitization costs	0.0	0.0	0.0	0.0	0.0	0.0	...	...
Telkom restructuring costs (cash) 7/	...	...	...	...	-0.4	-0.4	...	...
Telkom restructuring costs (bond) 8/	...	...	...	...	-0.6	-0.6	...	...
Telkom restructuring costs (tax arrears) 9/	...	...	...	...	-0.7	-0.7	...	...
Bank restructuring financing 6/	...	1.1	1.1	...	0.1	0.1	...	...
Expenditure arrears securitization financing	...	0.0	0.0	...	0.0	0.0	...	...
Telkom restructuring financing 8/	...	...	...	...	0.6	0.6	...	...
Telkom restructuring financing (tax arrears) 9/	...	...	...	...	0.7	0.7	...	...
Net domestic financing	1.8	1.7	1.9	1.6	1.6	1.6	1.6	1.5
Financing gap (stat. discrepancy for outturns)	0.1	0.0	-0.3	0.0	0.0	0.0	0.0	0.0
<i>Memorandum items:</i>								
Nominal GDP (in billions of Kenyan Shillings)	1,543.9	1,780.3	1,809.5	1,982.0	2,071.9	2,077.8	2,322.7	2,594.0
Primary budget balance	0.3	-0.8	0.7	-0.9	-2.8	-2.4	-0.8	-0.5
Stock of domestic debt, net (end of period)	18.1	18.5	18.5	18.3	18.4	18.4	18.0	17.7

Sources: Kenyan authorities; and Fund staff estimates and projections.

1/ Fiscal year ending June 30.

2/ Expenditures on Strategic Grain Reserve and Famine Relief (Ksh 2.65 billion in 2007/08) are excluded from other recurrent expenditures and included as drought/flood expenditures.

3/ Includes a one-time allocation for payment of security-related arrears of Ksh 2 billion in 2007/08.

4/ Includes debt relief from a debt swap deal with Italy.

5/ In 2007/08, this includes a US\$ 300 million sovereign bond, of which half is used to clear security related arrears.

6/ Consists of recapitalization of National Bank of Kenya and financing this through issuance of a special purpose bond.

7/ Consists of recapitalization of Kenya Telkom on account of its pension obligations and other restructuring operations, financed through cash injection.

8/ Consists of recapitalization of Kenya Telkom on account of its pension obligations and other restructuring operations, financed through issuance of a special purpose bond.

9/ Consists of clearance of tax arrears of Kenya Telkom to KRA and Ministry of Finance.

Table 3. Kenya: Monetary Survey, June 2006 - December 2007

	2006	2007					
	June	June		September		December	
	Actual	EBS/07/30	Revised Program ¹	Actual	Program	Actual	Staff Projection
(In billions of Kenya shillings)							
Central Bank of Kenya (CBK)							
Net foreign assets ²	159.5	158.1	175.7	174.2	182.9	179.7	186.3
In Millions of US \$	2,159	2,140	2,378	2,357	2,475.5	2,432.1	2,521.2
Net domestic assets	-51.8	-35.0	-52.6	-47.7	-57.5	-48.4	-44.7
Net domestic credit	-37.0	-26.3	-27.5	-16.8	-32.0	-16.4	-10.1
Government (net)	-15.8	-7.2	-8.9	-3.5	-7.4	-3.0	9.4
Private sector credit (CBK staff loans)	2.2	2.2	2.2	2.3	2.3	2.3	2.3
Commercial banks (net REPOS)	-23.4	-21.3	-20.9	-15.7	26.8	-15.7	-21.8
Other items (net)	-14.8	-8.8	-25.1	-30.9	-25.6	-32.0	-34.6
Reserve money (RM)	107.7	123.1	123.1	126.5	125.3	131.3	141.6
Currency outside banks	67.2	77.6	77.5	78.1	76.9	80.1	90.5
Bank reserves	40.5	45.5	45.6	48.3	48.5	51.3	51.1
Deposits-banks (Kenya)	31.5	35.5	35.6	36.5	37.3	38.7	39.4
Required Reserves ³	30.0	34.5	34.5	35.2	36.1	75.6	38.2
Excess Reserves	1.5	1.0	1.1	1.4	1.2	-37.0	1.2
Total till cash	9.0	10.0	10.0	11.7	11.2	12.6	11.7
Monetary survey							
Net foreign assets ²	191.6	199.2	237.7	239.8	225.6	240.1	253.3
Net domestic assets	413.9	485.4	447.2	480.0	485.6	503.8	505.4
Domestic credit	521.7	598.8	577.1	607.1	619.9	610.5	641.4
Government (net)	117.9	138.8	138.3	157.2	143.0	160.4	178.2
Rest of the economy	403.8	460.0	438.8	450.0	476.9	450.1	463.2
Other public sector	12.2	12.6	12.6	12.5	15.6	12.6	19.0
Private	391.6	447.5	426.2	437.5	461.3	437.5	444.2
Other items (net)	-107.8	-113.5	-129.9	-127.1	-134.4	-106.7	-136.0
M3	605.5	684.5	685.0	719.8	711.1	743.9	758.7
Currency outside banks	67.2	77.6	77.5	78.1	76.9	80.1	90.5
Deposits	538.3	606.9	607.5	641.7	634.2	663.8	668.2
Memorandum items:							
(Annual percentage change)							
M3	14.9	13.1	13.1	18.9	12.5	17.7	15.0
Reserve Money	14.0	14.3	14.3	17.5	12.0	17.0	14.0
Currency outside banks	13.3	15.4	15.2	16.2	12.0	16.6	18.4
Net domestic assets of the banking sector	9.4	13.7	8.0	16.0	13.7	18.0	14.3
Domestic credit	11.9	13.9	10.6	16.4	14.6	12.9	12.2
Government (net)	5.0	17.7	17.3	33.3	9.9	23.3	29.3
Rest of the economy	14.1	12.8	8.7	11.4	16.1	9.6	6.8
Multiplier (M3/RM)	5.6	5.6	5.6	5.7	5.7	5.7	5.4
Velocity (GDP/M3)	2.5	2.6	2.6	2.5	2.4	2.5	2.5

Sources: Central Bank of Kenya; and Fund staff projections.

¹ In May 2007, programmed net foreign asset stock beginning from end-June 2006 was revised to adjust for cross exchange rate movement. The program flows did not change.

² Converted into Kenyan Shillings using U.S. dollar and other cross exchange rates prevailing on June 30, 2006.

³ Calculated as 6% of total deposits excluding those at NBK.

Table 4. Kenya: Balance of Payments, 2005/06-2009/10
(In millions of U.S. dollars, unless otherwise indicated)

	2005/06	2006/07	2007/08	2008/09	2009/10
		Est.	Staff Projections		
Current account	-426	-656	-1,333	-1,276	-1,381
Excluding official transfers	-489	-656	-1,387	-1,318	-1,409
Exports, f.o.b.	3,501	3,712	4,204	4,792	5,516
Coffee	134	152	170	184	201
Tea	612	663	704	775	857
Horticulture	472	550	620	691	780
Imports, f.o.b.	-6,295	-7,392	-8,870	-9,762	-10,964
Oil	-1,545	-1,805	-2,147	-2,382	-2,519
Balance on goods	-2,794	-3,680	-4,665	-4,970	-5,448
Services (net)	839	1,215	1,237	1,443	1,660
Foreign travel credit ¹	631	786	937	1,035	1,149
Balance on goods and services	-1,955	-2,465	-3,429	-3,527	-3,788
Income (net)	-38	-31	-22	10	44
Credit	86	118	148	170	195
Debit	-124	-149	-171	-160	-151
Of which : official interest payments	-85	-82	-92	-83	-75
Other	-58	-68	-79	-77	-75
Current transfers (net)	1,566	1,839	2,118	2,241	2,362
Private (net)	1,504	1,839	2,064	2,200	2,334
of which: remittances	625	816	955	1,012	1,062
Official (net)	63	0	54	41	28
Capital and financial account	933	912	1,814	1,605	1,923
Capital account (incl. capital transfers)	215	227	381	359	647
Financial account	717	685	1,433	1,246	1,277
Investment assets and liabilities (net)	634	107	1,303	1,179	1,105
Official, medium and long term	-38	-19	593	433	561
Inflows	185	223	856	681	830
Program loans	21	0	20	38	103
Project loans	101	155	480	588	671
Defence / Commercial loans ²	21	21	300	0	0
Government guaranteed/parastatal	42	47	56	56	56
Outflows	-222	-242	-263	-248	-269
Commercial banks (net)	234	-454	-36	170	-51
Private (net)	438	580	746	577	596
Short-term (net) and net errors and omissions ³	83	578	131	67	172
Overall balance	506	255	481	329	542
Financing items	-506	-255	-481	-329	-542
Reserve assets (gross)	-766	-370	-353	-349	-584
Use of Fund credit and loans to the Fund (net)	-9	46	48	-14	-18
Change in arrears ⁴	150	18	-176	0	0
Rescheduling	118	50	0	0	0
Remaining gap	0	0	0	34	60
Tentatively identified program support	0	0	0	34	0
Unidentified support	0	0	0	0	60
Memorandum items:					
Gross official reserves (end of period)	2,353	2,723	3,076	3,425	4,010
in months of next year's imports of goods and services	3.3	3.1	3.2	3.2	3.3
Current account balance (excl. official transfers, as a percent of GDP)	-2.3	-2.5	-4.5	-3.8	-3.7
Import volume growth, goods (percent)	11.7	10.2	12.1	10.2	13.9
Import value growth, goods (percent)	28.7	17.4	20.0	10.1	12.3
Export volume growth, goods (percent)	7.7	2.0	11.6	14.7	14.8
Export value growth, goods (percent)	12.8	6.0	13.3	14.0	15.1
Change in the terms of trade (goods, percent)	-5.9	-5.5	-4.0	-0.3	0.9

Sources: Kenyan authorities; and Fund staff estimates and projections.

¹ The foreign travel credit is comprised of two components, recorded tourism inflows and an estimate of additional under-reported tourism receipts.

² Includes 2007/08 sovereign bond issuance, of which roughly half would be used to clear arrears on suppliers' credits for security-related and other contracts.

³ This entry is believed to include unrecorded capital flows and remittances from Kenyans working abroad not captured above.

⁴ Arrears clearance amount in 2007/08 reflects latest estimate from Kenyan authorities based on preliminary audit of security-related and other contracts.

Table 5. Kenya: Financial Soundness Indicators December 2003 - August 2007
(In percent)

	Dec-03	Dec-04	Dec-05	Jun-06	Aug-06	Dec-06	Aug-07
Capital Adequacy							
Regulatory capital to risk-weighted assets	17.3	16.6	16.4	16.7	16.3	16.5	16.7
Regulatory Tier I capital to risk-weighted assets	16.3	16.2	16.0	15.7	15.8	16.4	15.9
Capital (net worth) to assets	11.8	11.9	12.1	12.5	12.4	12.4	12.6
Asset quality							
Nonperforming loans to gross loans ¹	34.9	29.3	25.6	22.9	22.7	21.3	14.7
Nonperforming loans net of provisions to total capital ²	60.7	52.7	40.1	28.8	30.4	28.6	22.7
Earnings and Profitability							
Return on assets	2.3	2.1	2.4	2.8	3.2	2.8	3.2
Return on equity	23.2	22.0	25.0	28.9	32.3	28.6	32.4
Liquidity							
Liquid assets to total assets	33.2	32.4	33.1	33.100	33.6	35.2	33.3
Liquid assets to total short-term liabilities	48.9	41.5	40.6	41.6	42.5	44.5	42.6
Customer deposits to total (non-interbank) loans	131.6	135.7	125.1	125.3	127.2	130.1	138.4
Foreign currency liabilities to total liabilities	14.3	17.8	15.9	15.0	15.6	16.1	15.2
Sensitivity to market risk							
Net open positions in FX to capital	12.0	8.0	6.0	6.8	6.9	5.4	6.6
Net open positions in equities to capital	7.9	7.7	10.3	9.4	9.4	9.7	7.4

Sources: Central Bank of Kenya; and Fund staff calculations.

¹ The ratios were computed using gross nonperforming loans and gross loans.

² NPL figures for 2005 have been adjusted to reflect audited position.

Table 6. Disbursement Schedule under the PRGF Arrangement

Disbursement	Amount (in millions of SDRs)	Date	Conditions necessary for Disbursement
1st	25.0	November 2003	Approval of the PRGF arrangement.
2nd	50.0	December 2004	Completion of first review by the Board based on observance of performance criteria for end-December 2003.
3rd	37.5	April 2007	Completion of second review by the Board based on observance of performance criteria for end-March 2005.
4th	37.5	November 2007	Completion of third review by the Board based on observance of end-June 2007 performance criteria.
Total	150.0		

Table 7. Kenya: External Financing Requirements and Resources, 2005/06 - 2008/09 ¹
(In millions of U. S. dollars)

	2005/06	2006/07	2007/08	2008/09
External financing requirements	-1,335.7	-1,262.3	-2,189.1	-1,929.1
Current account (excl.official transfers)	-488.9	-656.3	-1,386.9	-1,317.6
Scheduled amortization (official)	-222.4	-242.4	-263.2	-248.4
IMF payments, gross	-8.6	-12.0	-10.1	-13.9
Change in arrears, net ²	150.3	18.5	-176.0	0.0
Buildup of gross official reserves	-766.1	-370.2	-353.0	-349.2
Resources	1,335.7	1,261.3	2,189.1	1,929.1
Program support (committed and tentatively identified)	83.1	57.7	131.6	113.0
IMF	0.0	57.7	57.7	0.0
Program loans	20.6	0.0	20.0	71.8
African Development Bank (ADB)	20.6	0.0	0.0	17.5
IDA	0.0	0.0	20.0	20.0
Other	0.0	0.0	0.0	34.3
Program grants	62.5	0.0	54.0	41.2
Project Support	316.9	381.7	860.4	947.1
Project loans	101.4	155.2	479.6	587.6
Project grants	215.5	226.5	380.8	359.4
Government-guaranteed, commercial & defence loans ³	62.6	67.7	356.3	56.3
Private financing (incl. short-term (net) and errors & omissions)	755.1	704.6	840.9	812.7
Private financing, net	671.8	126.3	710.2	746.2
of which, foreign direct investment	365.7	622.7	744.1	642.7
Short-term (net) and net errors and omissions ⁴	83.3	578.3	130.7	66.5
Rescheduling of debt	118.1	49.7	0.0	0.0
Unidentified gap	0.0	-1.0	0.0	0.0

Sources: Kenyan authorities; and Fund staff estimates and projections.

¹ The fiscal year is July/June.

² Arrears clearance amount in 2007/08 reflects latest estimate from Kenyan authorities based on preliminary audit of security-related and other contracts.

³ Includes 2007/08 sovereign bond issuance, of which roughly half would be used to clear arrears on suppliers' credits for security-related and other contracts.

⁴ Short-term (net) financing and errors and omissions in Kenya tend to be volatile, reflecting in part weaknesses in reporting, e.g., of tourism receipts.

Table 8. Kenya: External Debt Indicators, 2005-2010 ¹
(In millions of U.S. dollars, unless otherwise indicated)

	2005	2006	2007	2008	2009	2010
Debt-stock indicators						
Stock of external debt by creditor ²	5,068	5,000	5,236	5,912	6,771	7,389
Multilateral creditors	3,144	3,098	3,284	3,515	3,864	4,261
IMF	158	146	252	243	227	196
World Bank	2,460	2,429	2,462	2,573	2,772	2,982
African Development Bank/African Development Fund	354	354	371	432	511	638
Other	172	169	199	268	354	446
Bilateral creditors	1,615	1,618	1,709	1,906	2,157	2,420
Paris Club	1,527	1,522	1,591	1,744	1,943	2,153
Non-Paris Club	88	96	118	162	214	268
Other creditors	309	284	242	491	750	708
Stock of external debt by debtor ²	5,068	5,000	5,236	5,912	6,771	7,389
Central government	4,539	4,464	4,559	5,210	6,045	6,653
Government guaranteed	371	390	425	459	500	541
Central bank	158	146	252	243	227	196
Debt-service indicators ²						
Principal payments by creditor	235	246	247	265	266	297
Multilateral creditors	100	112	104	108	122	145
IMF	7	14	10	10	25	48
World Bank	62	67	71	73	73	75
AfDB/AfDF	11	11	12	11	10	8
Other	20	20	12	13	13	14
Bilateral creditors	87	88	91	105	104	110
Paris Club	85	85	88	100	96	100
Non-Paris Club	3	3	3	5	7	10
Other creditors	48	46	52	52	40	43
Interest payments by creditor	90	74	92	117	145	160
Multilateral creditors	30	29	31	35	41	47
IMF	2	2	2	2	2	2
World Bank	19	18	19	20	21	23
AfDB/AfDF	5	4	4	4	4	5
Other	5	5	6	9	13	17
Bilateral creditors	44	39	48	56	66	76
Paris Club	36	31	32	31	29	27
Non-Paris Club	8	7	15	25	37	49
Other creditors	16	6	13	26	39	37
Debt-Service Ratios						
Debt-service in percent of current year exports	6%	6%	5%	5%	5%	5%
Debt-service in percent of fiscal revenue	8%	7%	6%	6%	5%	6%

Sources: Kenyan authorities; and Fund staff estimates and projections.

¹ Due to data discrepancies, debt indicators will be updated in the context of the next Article IV or DSA.

² Excludes arrears.

Table 9. Actual and Projected Payments to the Fund, 2005-2010
(In millions of SDRs, unless otherwise indicated)

	2005	2006	2007	2008	2009	2010
Principal	5.0	9.2	6.7	6.7	11.7	16.7
Charges and interest ¹	1.5	1.8	2.1	2.1	2.1	2.0
Outstanding Fund credit ²	111.1	101.9	170.2	163.4	151.7	135.0
FCO in percent of:						
Exports of goods and nonfactor services	3.1	2.7	4.0	3.3	2.7	2.2
External public debt	3.2	3.1	5.0	4.3	3.5	2.8
Gross official reserves	9.0	6.4	9.2	7.8	6.4	4.9
GDP	0.9	0.7	0.9	0.8	0.6	0.5
Quota	40.9	37.5	62.7	60.2	55.9	49.7
Obligations (principal) in percent of:						
Exports of goods and nonfactor services	0.1	0.2	0.2	0.1	0.2	0.3
External public debt	0.1	0.3	0.2	0.2	0.3	0.4
Gross official reserves	0.4	0.6	0.4	0.3	0.5	0.6
GDP	0.0	0.1	0.0	0.0	0.0	0.1
Quota	1.8	3.4	2.5	2.5	4.3	6.2

Source: Fund staff estimates.

¹ Projections are based on current rates of charge, including burden-sharing charges where applicable, for purchases in the General Resources Account, and on current interest rates for Poverty Reduction and Growth Facility (PRGF), and Trust Fund. The current SDR interest rate is assumed for net use of SDRs.

² This assumes that the remaining amount of the PRGF arrangement of SDR 37.5 million will be disbursed upon completion of the third review in November 2007.

APPENDIX—KENYA: LETTER OF INTENT

November 2, 2007

Mr. Dominique Strauss-Kahn
Managing Director
International Monetary Fund
Washington, D.C. 20431

Dear Mr. Strauss-Kahn:

1. This letter describes recent performance under Kenya's economic program supported by the Poverty Reduction and Growth Facility (PRGF) arrangement and outlines the policies we plan to implement in the fiscal year 2007/08. Our broad strategy remains as outlined in our Investment Program for the Economic Recovery Strategy for Wealth and Employment Creation (ERS). The Kenya Vision 2030 program, which was recently launched, has three pillars, namely economic, social and political. The economic pillar calls for accelerating annual GDP growth to 10 percent on a sustained basis, with a view to making Kenya a middle-income country by the year 2030; the social pillar calls for a cohesive society enjoying equitable social development; and the political pillar calls for an issue-based, accountable democratic political system. As a step to achieve the Vision 2030 objectives, a medium-term economic strategy is being developed for the period 2008-2012.

2. **Most of the 13 performance criteria (PCs) for the third review under the PRGF arrangement were met.** We are requesting waivers for nonobservance of four PCs and completion of the third review under the PRGF arrangement. The end-June quantitative performance criterion (PC) on the reserve money of the Central Bank of Kenya (CBK) was missed but, as described below, we have taken steps to slow reserve money growth. The continuous PC on the non-accumulation of external arrears was breached by a small margin, but all overdue obligations have since been settled. The structural PC on making the Public Procurement Oversight Authority (PPOA) fully operational by end-April was not met but, as described below, an interim Director-General and Advisory Board are now in place, making the PPOA fully operational. A strategy to initiate the sale of the shares of the government and the National Social Security Fund (NSSF) in the National Bank of Kenya (NBK) was submitted to cabinet for approval in November, rather than end-June (PC).

3. **The government believes that the policies set forth in this letter are adequate to achieve the objectives of its program, but it will take any further measures that may become appropriate for this purpose.** Kenya will consult with the Fund on the adoption of such measures, in advance of revisions to the policies contained in this letter and in accordance with the Fund's policies on such consultation. Kenya will continue to provide the

Fund, in a timely manner, all the information required to monitor progress in implementing the policies and achieving the objectives of the PRGF-supported program.

A. Recent Economic Developments and Progress Under the Program

4. **The Kenyan economy continues to grow strongly.** Real GDP expanded by 6.6 percent and by 7.1 percent in the first and second quarters of 2007, respectively, on the back of strong growth in manufacturing, tourism, transport and communications, and financial services. Nonfood inflation has remained under 6 percent but, reflecting unexpected increases in food prices, overall inflation rose to 10.6 percent in the year to October.

5. **Fiscal performance was generally satisfactory in 2006/07.** The overall deficit (commitment basis, including grants) remained at 1.7 percent of GDP, compared to 3.3 percent of GDP under the program. In shilling terms, revenues grew in line with the program projections after difficulties experienced last year with the new customs system (SIMBA) were resolved. However, in relation to GDP, revenues increased modestly by 0.4 percent of GDP compared with the program target of 1 percent of GDP, mainly because of the higher inflation outturn. A significant shortfall in privatization receipts was only partially accommodated by program adjustors. However, budget execution was cautious and cuts in non-priority areas allowed the net domestic financing (NDF) target to be met by a comfortable margin. Core poverty spending was maintained at around 4 percent of GDP. Despite an improvement in the execution of the domestically financed development budget over the past years, there continued to be delays in the implementation of foreign financed development projects, in part due to problems with slow procurement. Delays in the hiring of some 7,000 teachers kept the wage bill below program levels, notwithstanding the additional increase of teachers' salaries that was partially brought forward from 2008/09.

6. **Despite steps taken by the Central Bank to strengthen money market operations, monetary growth exceeded program targets.** Reserve money grew by 17.5 percent in the year to June, more than 3 percentage points above the PC under the program, and broad money expanded by 18.9 percent in the same period despite increases in interest rates on repos and 91-day treasury bills, which rose by about 70 to 80 basis points in the first half of the year. To strengthen the monetary instrument, the CBK lengthened the maturity profile of repos in early June, and has since lowered the threshold on repo bids, introduced a second window for late repos, and clarified to banks that repos count towards liquidity requirements. In August, following the recommendation of the Monetary Policy Advisory Committee, the CBK increased the Central Bank Rate by 25 basis points, to 8.75 percent, to signal a tighter monetary stance. The CBK has become more flexible in accepting higher interest rate bids, and reserve money growth fell to 17 percent by end-September before unexpectedly bouncing back to 18.3 percent at end-October. However, the authorities remain committed to observing the proposed end-December target and the CBK is fine tuning its open market operations to ensure that this target is achieved.

7. **The current account deficit widened slightly in 2006/07 to about 2.5 percent of GDP from 2.3 percent in 2005/06.** Higher imports more than offset strong tourism and remittance flows, as well as growth in tea, horticulture, and manufactured exports. The CBK

increased foreign reserves sufficiently to maintain 3.1 months of import cover. Despite this accumulation, continued strength in the balance of payments resulted in a further appreciation of the Kenyan shilling against most major currencies, albeit at a slower rate than in the previous year.

8. **In September 2007, Standard and Poor's Ratings Services maintained Kenya's initial sovereign credit rating of "B+" for foreign currency and "BB-" for local currency long-term sovereign debt, and observed that the outlook is stable.** Fitch is expected to provide a sovereign credit rating for Kenya in November. Within sub-Saharan Africa, only mineral-rich countries such as Botswana, South Africa, and Nigeria have higher sovereign ratings.

9. **Important progress has been made in implementing structural reforms, including those monitored under the program, but there were some delays.** The Integrated Financial Management Information System (IFMIS) is now operational in four ministries (the Ministries of Finance, Health, Education, and Planning and National Development)—a PC for end-June under the program—while it is being phased in in another 20 ministries out of 43 accounting units. Arrangements are in place to roll-out to seven more accounting units. The operational modules include the accounts payable, general ledger and the purchasing modules. IFMIS is capable of producing expenditure returns reports on headquarters-based transactions. The system is running alongside existing accounting systems. Arrangements to create an interface with the district data system are underway. Coverage is being extended and problems with the reliability of the network and availability of back-up servers are being addressed.

10. **The Public Procurement Oversight Authority (PPOA) is now operating as intended (after the end-April PC was missed), despite delays in establishing the Advisory Board.** We have appointed an interim Director-General and Parliament has approved members of the Advisory Board, as provided for under the Public Procurement and Disposal Act; this Board will then appoint a Director General. All procurement, including under public private partnerships (PPPs), has continued to be subject to the transparent and competitive procedures established under the Procurement and Disposal Act (a benchmark).

11. **A strategy to initiate the sale of the shares of the government and the NSSF in the NBK was submitted to cabinet for approval in early November, rather than end-June (a structural PC).** The transfer of ownership to reputable private sector investors would aim to enhance the bank's capital base, facilitate independent management and provide strategic direction that would lead to improved financial performance of the bank. In preparation for this, financial restructuring of the bank was effected in June through the placement of nonnegotiable government bonds and the corresponding liquidation of the non-performing loan portfolio. The supervisory agreement between the CBK and NBK was renewed, and is expected to remain in force until recapitalization and divestiture by shareholders have been completed. It is expected that under the agreement, NBK would, by end-December 2007, fully comply with the provisions of the Banking Act, the Central Bank of Kenya Act, and prudential regulations, unless recapitalization and divestiture by

shareholders will not have been completed. In addition, NBK will not initiate any new transactions that would increase its capital, other than normal trading activities. It will seek CBK prior approval for any single operating expense exceeding 1 percent of its 2006 operating expenses; limit new lending to the amount of loan recoveries; and submit monthly projections for the following month's corporate and retail lending to the CBK for approval no later than the 15th of each month.

12. **The establishment of the Privatization Commission has been delayed, and is now expected to be in place by December, rather than end-May (a benchmark).** The process for recruitment of the Executive Director of the Commission is ongoing.

13. **The Controller and Auditor General's Report for FY2005/06 was submitted to parliament in September 2007, rather than end-April (a benchmark).** An initial delay in completion of the report was compounded by protracted delays in printing.

14. **Delays have occurred in completing the diagnostic audit of the NSSF and the study of the contingent liabilities of 24 other parastatals (benchmarks).** Consultants delivered an inception report for these studies in September. The audit of the NSSF, now expected to be completed in November, will provide a basis for considering options to address its financial and governance challenges. The study of the other parastatals is expected to be concluded in January 2008.

15. **The CBK Act has been amended to extend the objectives of the CBK to include promoting output and employment growth, although price stability will remain the overriding objective.** A planned enhancement of the core capital of banks from the current Ksh 250 million to Ksh 1 billion by 2010 in order to encourage mergers of small local banks so as to enable them to expand and compete with foreign owned banks, and take advantage of the emerging regional opportunities, has been rejected by Parliament. The proposal to improve the financial strength of insurance companies by increasing their paid up capital from Ksh 50 million to Ksh 450 million (depending on the types of insurance business) was approved.

16. **A comprehensive revision of the Banking Act is now expected to be submitted to the first session of the new parliament (after the June benchmark was missed).** The revised bill, which will be put to a further round of stakeholder consultation, is designed to strengthen the regulatory and supervisory framework and align our regulatory practices to international standards. Key among the changes are the provisions to strengthen enforcement of supervisory powers through the introduction of (i) mandatory supervisory intervention and prompt corrective actions for inadequately capitalized and failing banks, and (ii) consolidated supervision.

17. **Charterhouse Bank has remained under statutory management of the Central Bank of Kenya since June 2006.** In December 2006, the Ministry of Finance issued a notice to the former Charterhouse Bank directors of its intention to revoke the bank's license

as required under the Banking Act. The license, which expired in December 2006, has not been renewed by the government. In June 2007, the CBK's statutory management of the bank was extended for 12 months. It is expected that the High Court will consolidate the various court decisions concerning the CBK's authority in this case. The case is scheduled to come before the Chief Justice in November for further direction. The government intends to strengthen the legislation governing financial oversight to help ensure that such problems do not emerge in the future. The government intends to further amend the Banking Act to extend the list of infractions for which statutory management and liquidation may be undertaken. Recent amendments to the Act have transferred all licensing, supervisory, and resolution powers from the Ministry of Finance to the Central Bank.

18. **Progress has been made in implementing the *Governance Action Plan for Building a Prosperous Kenya (GAP)*.** The Miscellaneous Amendments Bill, which contained important governance reforms, was submitted to parliament in May in line with a program commitment (a structural PC). After rejecting most of the reform measures in the bill in September—with the notable exception of the proposed amendments to increase the number of High Court judges from 50 to 70 and the number of Appellate Court judges from 11 to 14—parliament has recently approved most of the President's recommended changes to restore the bill, including retaining the powers of the Kenya Anti-Corruption Commission (KACC) to investigate crimes committed before its establishment and to attach property. Wealth declarations of public officials will be available to the public upon application by interested persons, but publication of the information cannot be made without the approval of the responsible commission. The classification and penalties for corruption-related offences in The Anti-Corruption and Economic Crimes Act 2003 and The Penal code were substantially harmonized; the powers, privileges and immunities of the Director and investigators of the KACC vis-à-vis the detection, prevention and investigation of offences relating to corruption and economic crime were clarified in relation to The Evidence Act, The Criminal Procedure Code and The Police Act. Unfortunately, the proposals to give KACC premises the status of a Police Station and to vest Commission investigators with the rank of Chief Inspector were not enacted; and the KACC's powers of investigation vis-à-vis provision of information by suspects and their associates were curtailed.

19. **The government resubmitted the Proceeds of Crime and Anti-Money Laundering (AML) Bill to Parliament in May (a structural PC).** Draft regulations for the implementation of the AML law have been developed (an end-June benchmark). However, the AML bill was in its second reading when parliament was dissolved; the government intends to resubmit the bill in the first session of the new parliament.

20. **In other key areas of governance reform, progress has been steady.** To strengthen the legal platform against corruption, the Chief Justice issued a Legal Notice in February 2007 to prevent applications for constitutional references from acting as automatic stay of proceedings in cases involving economic crimes and corruption. The Political Parties Bill 2007 was approved by Parliament and assented to by the President in October 2007. The

Witness Protection Act 2006 is now in force and being implemented. To increase transparency and public access to government information, a Public Complaints Standing Committee was established in June 2007. With World Bank support, a comprehensive network of wireless-based public information hubs in districts and constituencies is being developed.

21. **Investigation and prosecution of corruption cases have continued, albeit slowly, while capacity is being strengthened.** Title deeds for 179 illegally and irregularly allocated parcels of public land have been surrendered to the Ministry of Lands. Two Anglo Leasing cases are in court, and investigations on other dimensions are ongoing. Further investigations into five files returned to the KACC by Attorney General's office are at an advanced stage, and investigations on other cases are ongoing. An administrative circular has been issued to address the problem of multiple suits on the same issue being filed in different courts. Procurement for automation of recording of court proceedings is in progress. Workshops have been held to sensitize judges and magistrates on new anti-corruption legislation, and a training committee is now in place.

22. **Public financial management reforms have deepened while the role of government in the economy has been scaled down.** All of the 10 targeted benchmarks of the Public Expenditure Management Action Plan have been met and the risk-based audit approach has now been rolled out. IFMIS is now operational in four ministries and is being phased in in another 20 ministries, and criteria for the granting of exemptions and waivers have been established and await ministerial approval while already being implemented by the Kenya Revenue Authority (KRA). A final report on developing and implementing a payment plan for pending bills is well advanced, and all claims that have been assessed as payable have already been paid. Quarterly budget execution reports have been published within 45 working days of the end of the quarter.

23. **205 business licenses were eliminated and another 371 simplified under the recently enacted Licensing Laws, bringing the total number of licenses eliminated to 315 and those simplified to 607 (out of a total of 1325) since 2006.** A consolidated electronic business license registry is being established, providing a useful base for the recently created Business Regulatory Reform Unit to monitor and evaluate existing and new licenses. Reforms in business licensing have been part of an overall effort to improve our business environment. The World Bank's annual Doing Business Report 2008 (covering developments in 2006/07) records significant improvements in Kenya's overall ranking, making the country one of the top 10 global reformers in 2006/07. Notable gains included reducing the number of days to start a business from 54 in 2006 to 44 in 2007. Aided by the electronic customs system, the Port of Mombasa has cut its average clearance time from 17 to 5-7 days. The KRA has dropped off Transparency International's bribery index as a result of its improvements in governance.

24. **In August, external auditors completed their reports on security-related contracts.** The audit reports have been passed to the KACC to facilitate investigation and potential prosecution of corruption cases. The government expects that the audit reports will also provide a basis for negotiation with creditors on disputed claims under the contracts.

25. **Our forward-looking governance reform efforts have won international recognition.** In June this year, Kenya won the United Nations' Public Service Award in the category "Improving Transparency, Accountability and Responsiveness in the Public Service" for comprehensively introducing performance contracts across all cadres in the public service. This latest award is in recognition of the government's efforts to make itself more accountable to its people through initiatives such as the "rapid results," whereby ministries deliver results in 100 days, as well as other reforms including performance contracts for government officials. In September, the Kenyan government was nominated for an international award for improved performance in the public service by the Ash Institute for Democratic Governance and Innovation at Harvard University's John F. Kennedy School of Government.

B. Macroeconomic Framework

26. **The medium term framework envisages growth rates of about 6½ percent, well above averages observed in the past decade.** While the government is gearing its policies to accelerate annual GDP growth towards the Vision 2030 target of 10 percent, the current baseline framework is guided by the need to be prudent. If we achieve higher than the projected growth rates, the medium-term macro-economic framework will be adjusted accordingly.

27. **For 2007/08, we expect continued robust economic growth and a significant decline in inflation.** Favorable weather conditions, strong tourism demand, and recent robust income growth are expected to sustain GDP expansion at about 6.4 percent. At the same time, inflation should decline to 5.8 percent by the end of the fiscal year. On the external side, the current account deficit is likely to widen as growth strengthens and foreign-financed project imports increase. Nonetheless, financial inflows should allow foreign exchange reserves to be maintained at an equivalent of 3.2 months of the following year's imports by mid-2008.

C. Economic and Financial Policies For 2007/08

Fiscal Policy and Public Financial Management

28. **While strictly limiting recourse to domestic financing, the 2007/08 budget would significantly increase expenditures on infrastructure and the anti-poverty programs.** To move towards the growth objectives under the Vision 2030, spending in priority areas, including roads and a number of flagship projects identified in the Vision 2030, would be increased. The budget also provides resources for the introduction of free tuition for public

secondary schools, scaling up of spending on preventive health care, and agricultural development. While this leads to a loosening of the fiscal stance relative to the 2006/07 outturn, the fiscal framework continues to be anchored on a gradual reduction in domestic debt as percent of GDP over the medium term.

29. **The budget envisages a widened deficit of 5.3 percent of GDP (including grants) but a net domestic borrowing requirement of no more than 1.6 percent of GDP, in line with our commitment under the PRGF-supported program.** While revenues are projected to increase to 20.7 percent of GDP, expenditures would increase to 28.0 percent of GDP, mostly on account of a sharp increase in development spending, which would increase from 4.4 percent of GDP in 2006/07 to 8.2 percent of GDP in 2007/08. The increase in development spending consists of about 1 percent of GDP of the domestically financed development budget and a tripling of foreign financed spending. The recurrent budget includes one-off outlays for the general elections (0.3 percent of GDP) and defense (0.4 percent of GDP), in addition to wage increases, hiring of more teachers (0.4 percent), and tuition fees for secondary schools (0.1 percent of GDP). The budget deficit would be financed by project loans estimated at 2.2 percent of GDP, receipts from the sale of shares in KenGen and Safaricom, and the Telkom privatization (2.2 percent of GDP), half of the proceeds (0.5 percent of GDP) from a planned sovereign bond issue (see below), and domestic borrowing. Some one-off costs related to the restructuring and privatization of Telkom and Safaricom are also included in the budget (1.0 percent of GDP), and these are partly financed by the issuance of a special purpose bond (0.6 percent of GDP). The budget includes only a limited amount of program support (0.2 percent of GDP) that has already been committed. Net domestic debt, including the securitization of contingent liabilities from Kenya Telkom, is expected to fall moderately from 18.5 percent of GDP in 2006/07 to 18.4 percent of GDP.

30. **We recognize that there are some risks to this budget.** Delays in the realization of the privatization receipts could lead to more domestic borrowing than budgeted and increase risks to debt sustainability. The risk of more borrowing could be compounded by the substantial restructuring costs related to the Telkom-Safaricom privatization that will be incurred before privatization receipts are realized. The magnitude of the increased spending could place pressures on domestic prices given constraints in infrastructure and the productive capacity of investment goods, although this risk is mitigated by the relatively high import content of this additional spending and private sector consumption may also be reduced as Kenyans increase their savings to buy shares in privatized companies. On the other hand, infrastructure bottlenecks, if not addressed, would constitute a risk to sustained growth.

31. **However, we believe these risks can be managed.** Some of the budgeted development spending, especially foreign financed, is likely to be carried over to 2008/09 due to constraints in implementation capacity and supply bottlenecks, including the availability of construction material. Based on past experience with the execution of the development budget, we now expect that the outturn of foreign financed development

spending would more likely be double the 2006/07 level, or about 1 percent of GDP lower than budgeted. An expected revenue shortfall of Ksh 2 billion as a result of the absence of CBK dividends this year would be offset by a small expected increase in VAT collection and some other expected savings. Taking all these into account, the deficit would be lowered to 4.8 percent of GDP, making it possible to limit net domestic borrowing to 1.6 percent of GDP. A sovereign bond of 1 percent of GDP will be issued, with half of the proceeds to be used to finance spending and the remainder to clear arrears on security-related contracts.

32. We are confident that the reduced development spending—albeit still sharply higher than in 2006/07—can be executed. Procurement has improved with the establishment of the PPOA. We have received assistance from the Millennium Challenge Corporation to improve the procurement process, although the full impact of this assistance will take some time to materialize. We now monitor disbursements weekly through a newly established monitoring working group, and have intensified our engagement with donors through portfolio meetings to address problems that arise in the procurement process. We have also set up a team to monitor the implementation of infrastructure spending through monthly meetings, with an objective to ensure that infrastructure ministries spend their allocations this fiscal year and maintain their project quality. Efforts are also being made to improve data reporting on development spending through appropriations-in-aid. In early September we launched the Kenya Joint Assistance Strategy whose objective is to work with donors on improving coordination and harmonization of donor support. These efforts continue to bear fruit, and important projects such as road construction in the Northern Corridor that were long delayed are now underway.

33. Risks from delays in privatization can also be mitigated to ensure that the government stays within the budget ceiling on NDF throughout the year. The bulk of privatization receipts are expected to be received by January 2008. Given this profile, development spending will be significantly back loaded to allow us to scale back spending in the event of a shortfall in receipts and to strictly limit NDF to 1.6 percent of GDP during the year. In this manner, roughly 1 percent of GDP of spending will be contingent on the availability of privatization receipts. We have developed a cash plan that forms the basis for cash ceilings and spending limits to implementing ministries, and have been able to restrict end-September NDF below the planned level. We expect to issue a supplementary budget early in 2008 to formalize this contingency plan in the event of a shortfall in receipts and take into account other developments in budget execution. At that time, if it turns out that development projects can be implemented more rapidly than projected above, and there are no constraints on donor disbursements and no signs of macroeconomic instability or deteriorating project quality, we will consider higher development spending up to the budgeted amounts. In this case, we will closely monitor nonfood inflation and interest rate pressures, the availability of skills and construction material, and overall project quality and unit cost. In the event that privatization receipts and revenues are higher than budgeted, we will save the proceeds and reduce NDF.

34. The government expects to issue an international sovereign bond in 2008.

Building on the favorable credit ratings received, we intend to issue a sovereign bond of approximately \$300 million in the first or second quarter of 2008. The bond would provide an international benchmark for Kenya and the proceeds would be used to finance high-return infrastructure projects (0.5 percent of GDP) as well as to refinance obligations under security-related and other contracts after renegotiation of disputed amounts based on the PricewaterhouseCoopers (PWC) audit of the contracts. At a time close to issuance, we will reassess the size of the bond issue based on prevailing market conditions, revenue performance, privatization receipts, and budget execution. Should the bond issue exceed the budgetary needs after refinancing security and other contract obligations, remaining bond proceeds would be saved.

35. Public expenditure management reforms remain critical to our goal of promoting the efficient use of public resources and transparency. Reforms will continue in line with the Strategy to Revitalize Public Finance Management (PFM) that was launched in June 2006. A key priority, which was noted by the Fund mission in July 2007 that prepared the draft Report on Standards and Codes on fiscal transparency, is to strengthen the legal framework for PFM. A draft organic budget law has been prepared and will be submitted for cabinet approval. The law takes into account the need to improve accountability and to increase the transparency of the budget process. It will also give Parliament a greater role of oversight.

Monetary, Exchange Rate, and Financial Sector Policies

36. Monetary policy operations will be geared toward securing low inflation over the medium term. The CBK will aim to limit the annual inflation rate to 5.8 percent by June 2008—provided that there is no recurrence of extreme weather conditions. To set monetary expansion on a trajectory consistent with this inflation objective, we will limit the annual growth of reserve money to 14 percent and broad money to 15 percent by end-December—considering that it will take some time to bring down the high monetary expansion in September. The targets for reserve and broad money for June 2008 are respectively set at 14 percent and 15 percent. The central bank will continue to gear monetary operations towards the achievement of the reserve money target. To this end, we will:

- enhance coordination of monetary and fiscal policy operations to minimize the liquidity impact of short-term fluctuations in net government borrowing from the CBK;
- reduce the threshold of a single T-Bill purchase to Ksh 100,000 from the current Ksh 1,000,000. This move should encourage smaller nonbank public investors to hold T-bills and enhance competition for liquidity in the banking system and a gradual shift away from the holding of currency;

- aim to clear the repo market in daily auctions by accepting all reasonable bids unless the offer is oversubscribed; and
- maintain a floating exchange rate regime to support the monetary policy objective. Foreign exchange interventions will be limited to smoothing short-term fluctuations unrelated to economic fundamentals. Priority will be given to achieving the reserve money targets vis-a-vis the NFA targets.

37. **We will continue to monitor real exchange rate developments and external competitiveness.** Measures to tighten the monetary stance described above should help reduce pressures on real appreciation. Meanwhile, we will continue to focus on improving productivity by tackling infrastructure bottlenecks and by continuing with reforms to reduce costs of doing business. Past experience shows these measures can offset the negative effect of real exchange rate appreciation on export competitiveness.

38. **The government is committed to developing a financial sector reform strategy that is based on market principles.** The Kenya Vision 2030 identifies financial services as one of six sectors that are key to achieving faster and sustained growth. Work that is already underway on a strategy for long-term development of the sector will therefore be extended in the elaboration of the Vision 2030. The medium-term strategy (2008-2012), which is expected to be finalized in early 2008, will encompass reforms to improve access to financial services by the greater majority of Kenyans and strengthen efficiency and stability of the financial system. Improving governance of the financial sector will also be a key reform objective.

Governance and Structural Reforms

39. **The government is fully committed to implementing the strategy laid out in its GAP.** Key governance policy initiatives will continue to focus on four broad areas: (i) prevention; (ii) investigation; (iii) restitution; and (iv) improving governance in priority sectors. In implementing these measures, top priority will be given to administrative and preventive actions, which are expected to result in measurable improvements in governance and anti-corruption efforts in the short run and also in the long term.

40. **For the remainder of 2007/08, priority will be given to areas where legislation is not required.** To help expedite the prosecution of cases, we will continue to expand court facilities and hire additional prosecutors using the 2007/08 budget allocation. We will speed up the training of judges and the automation of recording of court proceedings to replace the time-consuming process of manual recording of court proceedings by judges. Following the posting of all procurement contracts above Ksh 5 million that were awarded during the second and third quarters of 2005/06, the PPOA is now posting all subsequently awarded contracts and monitoring and enforcing ministerial compliance. We will strive to improve accountability through audit and increased involvement of stakeholders in decisions

impacting on the Constituency Development Fund (CDF) and Local Authority Transfer Fund (LATF) expenditure and other devolved funds, including funding of free primary education. In addition, the government will strengthen governance through the fiscal and financial sector reforms noted below. The process is underway to ensure that security-related organs are complying with the procurement law.

41. **An ambitious privatization program is planned, building on significant progress made over the past few years.** The initial public offering (IPO) of Kenya Reinsurance Co. was completed in July 2007 following the second offer of shares of Mumias Sugar Co. in December 2006. Several other initiatives are underway, including the restructuring and preparation for privatization of Telkom and NBK, with an aim of attracting strategic investors; the sale of a 41.7 percent government stake in Safaricom (25 percent of Safaricom shares); and a further stake in KenGen after the IPO of 30 percent in 2006. Total privatization receipts for 2007/08 are expected to amount to 2.2 percent of GDP. We will continue developing a privatization program in line with the Privatization Act. Performance contracts for commercial public enterprises will be closely monitored and enforced, and the accounts of the enterprises will continue to be audited and published in a timely manner. With a view to improving operations of parastatals, we will develop time-bound restructuring plans for key entities in the agricultural sector such as the sugar companies and Pyrethrum Board of Kenya. We will also implement the new coffee rules, develop a reform strategy for development finance institutions, and review the operations of the National Cereals and Produce Board with a view to coming up with recommendations to strengthen its financial position and ensure its sustainability.

42. **Improving the compilation and dissemination of economic data is an integral part of the government's strategy to increase transparency as well as to enhance social and economic analysis.** In line with the new Statistics Law, the government established in February 2007 the autonomous Kenya National Bureau of Statistics (KNBS), replacing the former Central Bureau of Statistics. The new Bureau collects, compiles, analyzes, and publishes statistical information, guided by explicit provisions for public access and dissemination. Starting from August 2007, the KNBS began publishing quarterly GDP estimates. Steps are underway to improve fiscal data, in particular with the preparation of monthly fiscal summary statistics. The Bureau will launch a new consumer price index based on a new basket derived from the recently completed household survey and will at the same time update the methodology for the computation of the index. The Government has requested Technical Assistance from the Fund to assist in this area. We intend to further improve data collection and dissemination, including production of quarterly data on balance of payments.

43. **The government also plans to further strengthen the business environment in order to spur the investments necessary for achieving the growth envisaged in the Vision 2030 strategy.** Building on the progress made in reforming business licenses over the past two years, we will continue to improve our licensing regime, including by expeditiously

establishing the consolidated electronic business registry. We will also move forward with labor market reforms, including updating relevant legislation, with a view to strengthening labor market flexibility and linking more closely wage awards to advances in productivity.

44. **Kenya will continue to pursue trade liberalization to enhance efficiency and promote growth.** Within the region, the government will continue implementing its East African Community (EAC) commitments, pursuing deeper regional economic and social integration, and advocating for further opening up of the Community with a view to enhancing competition and efficiency. The government will also support efforts to bring the Doha Round of multilateral trade negotiations to a successful conclusion that benefits all countries. Kenya, in conjunction with regional partners, continues to seek agreement on an Economic Partnership Agreement with the EU to ensure favorable and stable market access for Kenya's exports.

D. External Financing

45. **External financing requirements are projected to rise in 2007/08.** The total external financing requirement in 2006/07 (US\$1.3 billion) was slightly lower than projected at the time of the second review under the PRGF arrangement in April 2007, due primarily to a smaller than projected current account deficit. External financing requirements are expected to rise significantly in 2007/08 to US\$2.2 billion due to much higher infrastructure spending and a wider current account deficit, but also reflecting somewhat higher debt service payments following the end of the consolidation period under the Paris Club rescheduling agreement in 2006 and clearance of arrears on security-related and other contracts. External financing needs would remain relatively high in the medium-term, in line with higher infrastructure spending and investment-related imports. Meeting the projected external financing requirements is expected to be manageable. Stronger economic policies in recent years as well as some progress on governance has increased confidence in the economy and donor commitments, particularly for project support. Stronger private flows following favorable credit ratings and enhanced exposure to the international financial markets from our debut sovereign bond will also help meet the external financing need.

46. **The government is continuing to develop a legal and institutional framework for PPPs that takes adequate account of the fiscal risks of such arrangements, including contingent liabilities.** A consultant's report on PPPs was completed in September. A PPP unit within the Ministry of Finance will be established to act as a "gate keeper", evaluating and monitoring PPP projects, with an aim to reduce fiscal risks.

E. Other Issues

47. **The CBK continues to address issues raised in the safeguards assessment.** The assessment that was completed in September 2005, noted that steps had been taken to implement the recommendations of the earlier safeguards assessments and proposed measures to address the remaining vulnerabilities. CBK agreed in principle to the

recommendations of the follow up safeguards assessment mission of 2006, which suggested that CBK formalize, in a memorandum of understanding with the government, the policy on exclusion of unrealized revaluation gains from profit distribution. The CBK Board of Directors has passed a resolution adopting the recommendation.

Sincerely yours,

/s/

Amos Kimunya
Minister for Finance

Table 1. Status of Prior Actions, Structural Performance Criteria and Benchmarks
Under the PRGF Arrangement for 2006/07

Policy Action	Date	Status
Governance		
* Resubmit to Parliament the Proceeds of Crime and Anti-Money Laundering Bill. The draft bill should be consistent with international standards, especially with regard to combating terrorism financing.	May 31, 2007	Met
* Resubmit to Parliament the Statute Law (Miscellaneous Amendments Bill), which provides, among other things, for public disclosure of wealth declarations and the appointment of at least 20 judges to enhance the administration of justice.	May 31, 2007	Met
Fiscal Issues		
Publish quarterly reports based on expenditure returns data no later than 45 days after the end of each quarter.	Continuous	Met
Establish objective criteria for granting tax exemptions and waivers.	April 30, 2007	Met
*Make the IFMIS operational in four spending ministries for management of the 2007/08 budget. The four spending ministries in which IFMIS will be made operational for the implementation of the 2007/08 budget are the Ministry of Finance, the Ministry of Planning and National Development, Ministry of Health, and the Ministry of Education.	June 30, 2007	Met
Complete the study of contingent liabilities of twenty-four parastatals' accounts.	September 30, 2007	Not met
Present to Parliament the Controller and Auditor General's Report for FY2005/06.	April 30, 2007	Not Met
*Make the Public Procurement Oversight Authority fully operational under the Procurement and Disposal Act.	April 30, 2007	Not met
All procurement, including under PPPs, will continue to be subject to the transparent and competitive procedures established under the Procurement and Disposal Act.	Continuous	Met
Financial Sector		
Submit to parliament an amendment to the Banking Act. The amendments shall include, among other things, (i) the introduction of mandatory supervisory intervention and prompt corrective actions for inadequately capitalized and failing banks; and (ii) the introduction of consolidated supervision.	June 30, 2007	Not Met
* Submit to Cabinet for approval a strategy to initiate the sale of GoK and NSSF's share in the National Bank of Kenya (NBK).	June 30, 2007	Not Met
Complete a diagnostic audit of the NSSF that will form the basis for its restructuring and reform of its governance.	May 31, 2007	Not Met
Finalize draft regulations necessary to implement the Proceeds of Crime and Anti-Money Laundering Bill.	June 30, 2007	Met
Private Sector Development and Public Enterprise Reform		
* Include in the finance bill for 2007/08 the elimination of business licenses found not to serve a useful purpose.	June 30, 2007	Met
Establish the Privatization Commission under the Privatization Act 2005.	May 30, 2007	Not Met

* Performance criterion.

Table 2. Outcomes on Quantitative Performance Criteria and Benchmarks Under the Program for 2007 ^{1, 2}
(In millions of Kenya shillings, unless otherwise indicated)

	March			June					September				
	Benchmark			Performance Criteria					Benchmark				
	EBS/07/30	Actual		EBS/07/30	Adj.	Target	Actual	Status	EBS/07/30	Adj.	Target	Actual ³	Status
Cumulative change in net foreign assets of the Central Bank of Kenya (CBK) ^{4, 5, 6}	11,348	11,933		16,194		14,716	15,297	met	23,401		20,958	20,355	not met
Cumulative change in reserve money of the CBK ^{6, 7}	15,122	14,495		15,397		15,397	18,791	not met	17,581		17,581	23,653	not met
Cumulative change in net domestic financing of the central government, excluding government debt issued for any bank restructuring, and the new securitization of expenditure arrears ^{6, 7}	47,778	36,239		29,507		41,328	34,661	met	59,272		72,058	45,940	met
New contracted or guaranteed nonconcessional external medium- and long-term debt by the central government or the CBK ^{7, 8}	0	0		150		150	0	met	150		150	0	met
New contracted or guaranteed external short-term debt by the central government or the CBK ^{7, 8}	0	0		0		0	0	met	0		0	0	met
Accumulation of domestic budgetary arrears ^{7, 8}	0	0		0		0	0	met	0		0	0	met
Accumulation of external payments arrears ^{7, 8}	0	0		0		0	223 ⁹	not met	0		0	234	not met
Memorandum items:													
Programmed external budgetary support (in millions of U.S. dollars) ⁶	20	0		20		...	0	...	20		...	0	...
Privatization receipts ^{6, 10}	5,726	4,000		18,226		...	4,000	...	18,226		...	6,000	...
Program exchange rate (Kenya shillings per U.S. dollar)	73.88	73.88		73.88		73.88	73.88	...	73.88		73.88	73.88	...
External debt service net of rescheduling (in millions of U.S. dollars) ⁶	184.7	194.3		269.1		...	264.0	...	353.6		...	366.7	...

¹ The fiscal year runs July 1 - June 30.

² The performance criteria and benchmarks under the program, and their adjusters, are defined in the technical memorandum of understanding (TMU). All test dates for the performance criteria and benchmarks are on an end-of-period basis.

³ Provisional estimate.

⁴ Floor.

⁵ Excludes encumbered reserves.

⁶ Figures cumulate from the beginning of the fiscal year 2006/07, which began on July 1, 2006.

⁷ Ceiling.

⁸ Continuous performance criterion.

⁹ Excluded from the amount shown above are Ksh 1,779 million in obligations due on June 30, 2007 but not paid on time due to technical factors. The amounts were owed to Paris Club creditors as well as one multilateral creditor and were paid in July 2007.

¹⁰ The maximum upward adjustment to NDF from shortfalls in privatization receipts is capped at US\$140 million or Ksh 10.34 billion.